

1. Strategic Management

Planned use of resources to reach goals; ongoing evaluation of internal processes and external factors.

Benefits: Competitive advantage, goal clarity, sustainable growth, org. cohesion, managerial awareness

5 Steps: (1) Identify direction (2) Analyze resources (3) Frame strategies (4) Implement (5) Evaluate effectiveness

2. Vision / Mission / Values

Vision: Future-oriented; what the firm aspires to be. *Nike:* “Bring inspiration to every athlete.”

Mission: Purpose and reason for being; guides daily ops. *Tesla:* “Accelerate the world’s transition to sustainable energy.”

Values: Core principles shaping culture and decisions. *Disney:* openness, integrity, courage, diversity.

Tips for vision: concise, ambitious, realistic, one sentence, unique.

3. VRIO Framework

Internal resource analysis for sustained competitive advantage (Jay Barney, 1991).

V Resource exploits opportunity or offsets threat

R Possessed by only one or very few firms

I Costly or difficult to imitate/substitute

O Firm organized to capture the value

All four → sustained competitive advantage.

Limitation: internal only; pair with PESTLE.

4. PESTLE Analysis

External macro-environment scan. Run at least every 6 months; essential for new markets.

P Political: govt policy, trade, lobbying

E Economic: growth, employment, interest rates, FX

S Socio-cultural: demographics, norms, values

T Technological: innovation, disruption

L Legal: regulations, court rulings

E Environmental: sustainability, natural resources

5. Porter’s Five Forces

Industry profit-potential analysis. Weaker forces = greater competitive advantage.

1 Threat of Entry (scale, network effects, switching costs)

2 Supplier Power (concentration, differentiation)

3 Buyer Power (volume, price sensitivity)

4 Threat of Substitutes (other industries’ products)

5 Rivalry (structure, growth rate, exit barriers)

Structures: perfect competition → monopolistic → oligopoly → monopoly.

6. SWOT Analysis

Situational analysis (Albert Humphrey, 1960s). Use 2x2 grid.

S (internal+) Strengths: competitive capabilities

W (internal-) Weaknesses: underperforming areas

O (external+) Opportunities: favorable external factors

T (external-) Threats: factors that could harm the firm

Tips: identify goals first; conduct brainstorming; analyze competitors regularly. Apple ex: Brand (S), premium pricing (W), wearables (O), Android dominance (T).

7. Resource-Based View (RBV)

Internal resources are the primary driver of

competitive advantage (Jay Barney, 1991).

VRIN: Valuable, Rare, Inimitable, Non-substitutable

Steps: (1) internal audit (2) assess VRIN (3) build strategy (4) sustain and invest.

▷ Nike: brand equity (R+I); Coca-Cola: secret formula (I); Google: culture of innovation (N)

8. Competitive Advantage Types

Type	How	Example
Cost	Lowest cost producer	Walmart, Southwest
Differentiation	Unique, premium value	Apple, Ferrari
Network	Connections & partnerships	Alibaba, Mastercard

Importance: Profitability, sustainable growth, market share, bargaining power

5 Strategies: Innovation, cost leadership, differentiation, customer service, branding

Nike: combines differentiation + branding for market leadership.

9. Strategy & Competitive Advantage

Strategy: Goal-directed actions to gain and sustain superior performance vs. competitors

Competitive Advantage: Always relative — compare to industry average (e.g., 15% ROIC is weak if industry avg is 20%)

Why Strategy Matters: Direction, efficiency, productivity, durability, leadership development

6-Step Formulation: (1) Understand goals (2) Understand industry (3) Plan rational steps (4) Discuss & critique (5) Implement (6) Evaluate & modify quarterly/annually

10. Blue Ocean Strategy

Kim & Mauborgne. Create uncontested market space rather than competing in existing markets.

Red Ocean Compete for existing demand; price wars

Blue Ocean Create new demand; avoid competition

6 Principles: (1) Value Innovation (2) ERRC Grid: Eliminate-Reduce-Raise-Create (3) Reconstruct market boundaries (4) Reach non-customers (5) Overcome org. hurdles (6) Build execution into strategy

▷ Ex: Netflix (streaming), Tesla (premium EV), Southwest (low-cost+friendly service)

11. Ansoff’s Growth Matrix

Igor Ansoff (1957). Four growth paths by product/market combination.

	Existing Mkt	New Mkt
Existing Product	Market Penetration	Market Development
New Product	Product Development	Diversification

▷ Penetration: Coca-Cola promotions; Development: Spotify → India; Product Dev: Google → Gmail; Diversification: Virgin Group

Risk increases moving right and down. Apply in 7 steps: assess → objectives → evaluate → feasibility → select → plan → execute.

12. Diversification Strategy

Expand market share or enter new markets via new products.

3 Reasons: (1) Mitigate risk (2) Competitive defense (3) Increase profits

Related Shares core competency (Honda: engines → cars, ATVs, boats)

Unrelated Portfolio approach—often fails (Harley water, Starbucks furniture)

Geographic Same model, new regions (Starbucks, KFC internationally)

Related diversification outperforms unrelated; strengthens brand + leverages competency.

13. Vertical Integration

Own more stages of the value chain rather than outsourcing.

Backward: Move toward inputs — IKEA buys forests; Amazon becomes publisher

Forward: Move toward consumers — Apple opens retail stores; McDonald’s buys Dynamic Yield

Pros Reliability, power over suppliers/buyers, flexibility, lower prices

Cons High cost, management difficulty, loss of focus, reduced flexibility

14. Mergers & Acquisitions (M&A)

Merger: Two equal firms combine (Dell + EMC → Dell Technologies)

Acquisition: One buys another (Facebook buys WhatsApp \$19B)

Benefits: Market expansion, synergies, diversification, new tech/capabilities, financial gains

Failure rate: Up to 70% (HBR): cultural clash, poor due diligence, overpayment, integration failure

Success: Disney+Pixar, ExxonMobil. **Failed:** Daimler-Chrysler, Microsoft-Nokia.

Key steps: Strategy → due diligence → financing → integration plan → communicate → legal advice

15. Strategic Alliances

Voluntary arrangements to share knowledge, resources, capabilities.

Type	Ownership	Knowledge Shared
Non-equity	None (contract)	Explicit only
Equity	Partial stake	Explicit + tacit
Joint Venture	Shared entity	Explicit + tacit

Why: Competitive position, new markets, hedge uncertainty, complementary assets, learn capabilities

Co-opetition: Cooperate to grow pie; compete on how to divide it

70% of alliances fail. McKinsey: clear foundation, nurture relationship, accountability metrics, dynamic partnership. Ex: BMW+Louis Vuitton, Red Bull+GoPro, Starbucks+Target.

16. Joint Ventures

Standalone entity jointly owned by two+ parent companies. Most formal alliance type.

Equity JV: Capital for equity shares; share profit/loss (GM+SAIC in China)

Contractual JV: Collaborate via contract only, no new entity (NASA+SpaceX)

7 Steps: Purpose → structure → resources → governance → financials → risk/exit → mon-

itor

Benefits: New markets, shared costs/risk, combined expertise

Challenges: Conflicts of interest, cultural differences, shared control delays

17. Offshoring

Relocate business processes to another country; own subsidiary or local partner.

vs. Outsourcing: Offshoring = different country; Outsourcing = external party

5 Steps: Identify activities → select location → establish ops → integrate → monitor

Ex: GE offshored back-office to India via GE Capital International Services (Genpact)

Pros Cost savings, global talent, market access, scalability, core focus
Cons Quality control, political risk, communication, IP risk, domestic job loss

18. Outsourcing

Hire external organizations for tasks typically done in-house.

5 Steps: Core vs. non-core → select partner → SLAs → monitor → evaluate

Ex: Nike: outsources manufacturing; retains design & marketing. Dell: outsourced components → just-in-time dominance in PCs.

Pros Cost savings, core focus, expertise, scalability, risk mitigation
Cons Loss of control, communication barriers, hidden costs, security risks

19. Transaction Cost Economics (TCE)

Coase (1937) + Williamson. Minimize hidden exchange costs to decide make vs. buy.

Transaction costs	Search, negotiation, monitoring/enforcement
Asset specificity	High specificity → keep in-house
Uncertainty	High uncertainty → vertical integration
Frequency	High frequency → in-house investment

Benefits: Reduces opportunism, cost efficiency, greater control, better long-term decisions

Limits: Risk of over-integration; hard to measure costs precisely; reduces flexibility

20. International Strategies

Two pressures: cost reduction vs. local responsiveness → four strategies.

Strategy	Cost	Local	Example
Global Std.	High	Low	Intel, Texas Instruments
Localization	Low	High	Nestlé
Transnational	High	High	Caterpillar
International	Low	Low	P&G, Microsoft (hist.)

International strategy vulnerable to efficient global competitors over time.

21. Exit Strategies

Plan for how stakeholders leave or divest from a business.

Acquisition	Sell to larger firm; immediate payout (Instagram → Facebook \$1B)
IPO	Go public; retain partial ownership (Spotify 2018 direct listing)
MBO	Management buys out owners (Dell 2013)
Family Succession	Pass to next generation (Ford family)
Liquidation	Sell assets & close; last resort

Factors: Business goals, market conditions, financial health, stakeholder objectives

Benefits: Clarity, maximized value, risk management, flexibility

22. Agency Theory

Explains conflicts between principals (owners) and agents (managers).

Assumptions: (1) Both parties act in self-interest; (2) Agents have more information

(asymmetry)

Types: Shareholders vs. management; investors vs. fund managers

Examples: Enron: management hid losses → bankruptcy 2001; Madoff Ponzi: \$65B fraud

5 Mitigations: Contracts, restrictions, periodic evaluations, aligned bonuses, transparency

23. CEO Compensation

5 Components: (1) Base salary (2) Bonuses (3) Stock options/grants (4) Long-term incentive plans (5) Perquisites

Key Factors: Company size/performance, industry norms, CEO track record, governance, regulation

▷ Musk: 12-tranche milestone plan tied to market cap. Zuckerberg: \$1/yr salary + equity stake. Cook: \$3M base + RSUs + performance incentives

Purpose: Attract talent, motivate performance, align with shareholders, mitigate agency problems

24. Board of Directors

Group elected by shareholders to oversee activities and protect shareholder interests.

Chairperson	Sets agenda; links board to management
Exec. Directors	Hold mgmt positions (CEO/CFO); bridge ops + strategy
Non-Exec. Directors	Independent oversight; external perspective
Independent Directors	No material ties; unbiased (audit, compensation)
Lead Indep. Director	When CEO + chairperson roles are combined
Committee Chairs	Lead audit, compensation, nominating committees
Corporate Secretary	Records, compliance, governance facilitation

Decision Process: Set agenda → distribute materials → meetings → committee review → deliberate → vote → document → follow-up

25. McKinsey 7S Framework

Seven interdependent elements; shared values sit at the center.

Hard elements: Strategy, Structure, Systems (directly manageable)

Soft elements: Skills, Staff, Style, Shared Values (cultural; equally critical)

Changing one element creates a domino effect through all others.

5 Steps: Assess current state → define gaps → action plans → implement with communication → evaluate & iterate

Benefits Holistic view, alignment, powerful diagnostic tool
Limits Oversimplifies, static, ignores external environment

26. Organizational Culture

Shared values and norms; learned through socialization in day-to-day operations.

6 Benefits: Recruitment, loyalty, job satisfaction, collaboration, work performance, less stress

Sources: Founders (Walt Disney, Ben & Jerry's) and Industry norms (pharma vs. tech)

6 Building Tips: Employee wellness, grow from current culture, hire for fit, encourage positivity, foster relationships, listen more

▷ 86% in strong cultures feel heard by leadership; 70% in weak cultures do not

27. Organizational Structures

Type	Best For	Main Risk
Hierarchical	Large traditional orgs	Slow decisions, high cost
Functional	Specialized efficiency	Silos, narrow scope
Divisional	Large multinationals	Duplicated resources
Flat	Startups, innovation	Confusion at scale
Matrix	Complex projects	Dual authority, overload
Network	Core-competency focus	Loss of control, secrecy

No single best structure — match to strategy, size, and industry.

28. Organizational Design

Arranging people, resources, processes to achieve goals efficiently.

5 Principles: (1) Clarity of roles (2) Align with strategy (3) Coordination & communication (4) Flexibility (5) Balance of authority (centralized vs. decentralized)

Design follows strategy. A tech company may use functional, divisional, and matrix simultaneously at different levels.

29. Balanced Scorecard (BSC)

Kaplan & Norton. Measure organizational performance beyond financial metrics.

Financial	Revenue, profit margin, ROI
Customer	Satisfaction, retention, NPS
Internal Processes	Efficiency, quality, cycle time
Learning & Growth	Training, retention, R&D ratio

5 Dev. Steps: Vision → strategic objectives → critical success factors → KPIs → targets/initiatives

Pros Better communication, alignment, keeps strategy active
Cons Requires customization, leadership buy-in, data-intensive

30. KPIs (Key Performance Indicators)

Quantifiable measures of long-term performance. Characteristics: relevant, measurable, specific, time-bound, actionable, appropriate.

KPI	Formula	Example
Revenue	Price × Qty	\$50 × 1000 = \$50k
Gross Margin	(Rev − COGS)/Rev	(50k − 25k)/50k = 50%
CAC	Mktg cost/New customers	\$50k/100 = \$500
CLTV	Sale × Trans/yr × Retention	\$100 × 3 × 3 = \$900
NPS	%Promoters − %Detractors	50% − 20% = 30
Turnover	Left/Total × 100	10/100 × 100 = 10%
Inventory T/O	COGS/Avg inventory	\$100k/\$25k = 4

31. Triple Bottom Line (TBL)

Elkington. Companies commit to Profit + People + Planet simultaneously.

Profit	Ethical income; fair taxes; community investment
People	Fair wages, diverse suppliers, equitable customer access
Planet	GHG reduction, waste, energy, circular economy

Examples: DHL: 62% renewable electricity; Ben & Jerry's: B-Corp certified; North Face: 100% sustainable fabrics

Benefits Brand reputation, retention, cost savings, transparency
Limits Vague; no global standard; greenwashing risk

32. Risk Management

Process of identifying, assessing, and mitigating risks impacting strategic objectives.

Financial	Interest rates, currency, credit defaults
Operational	Equipment failure, supply chain disruptions
Legal/Regulatory	Law changes, compliance costs
Reputational	Media, recalls, data breaches
Strategic	New markets, M&A failure, product flop
Cybersecurity	Hacking, phishing, malware

7 Steps: Identify → assess → prioritize → develop strategies → implement → monitor → communicate

Ex: Zoom scaled + secured during COVID; Ford prioritized F-150/Mach-E during chip shortage.

33. Game Theory

Studies strategic decisions when outcomes

depend on others' actions.

Prisoner's Dilemma: Both confess (Nash equilibrium) despite mutual silence being optimal — self-interest vs. collective good

Key Strategies: Dominant strategy, Nash equilibrium, Tit-for-Tat, Grim Trigger, Randomization

Business Uses: Pricing, advertising, alliances, competitive analysis, M&A modeling

Contributors: Von Neumann, Morgenstern, Nash (Nobel 1994), Shapley (2012), Aumann (2005)

Limits: Assumes rationality; simplifies reality; hard to apply in practice

34. Strategic Leadership

Ability to influence others to make day-to-day decisions enhancing long-term viability.

vs. Operational: Operational = day-to-day problems; Strategic = big picture, long-term vision

8 Core Skills: Vision, goal-setting, comfort with change, communication, collaboration, influence, execution, optimism

CEO Time Use: Meetings 67%, alone 13%, email 7%, calls 6%, meals 5%, public events 2%

Archetypes: Bezos (e-commerce vision), Musk (EV + space), Jobs (consumer-first product innovation).

35. Strategic Decision-Making

Selecting the best course of action aligned with long-term organizational goals.

5 Steps: (1) Identify problem/opportunity (2) Gather info & analyze (3) Develop & evaluate alternatives (4) Make the decision (5) Implement & monitor

▷ Netflix: recognized streaming opportunity early → DVD → streaming → original content

▷ Apple: Jobs entered mobile after research on consumer needs → iPhone (2007)

▷ Toyota Prius: evaluated fuel-efficiency alternatives in 1990s → chose hybrid

▷ Amazon AWS: bold cloud entry despite risk → now most profitable segment

▷ Nadella: pivoted Microsoft to cloud-first (Azure, M365)

36. Product Life Cycle (PLC)

Introduction	Slow sales; demand creation; <i>most products fail here</i>
Growth	Sharp upturn; competitors enter; branding critical
Maturity	Growth slows; saturated market; differentiation key
Decline	Competition/disruption; many firms exit

Extend Maturity: Track industry evolution, monitor consumer shifts, adopt innovative tech, rebrand to align with values

▷ Typewriters (late decline), VCRs (obsolete), EVs (growth), AI products (introduction)

37. Types of Innovation

Two dimensions: technology (existing/new) × market (existing/new).

	Existing Market	New Market
Existing Tech	Incremental	Architectural
New Tech	Disruptive	Radical

Incremental: Improve existing; most common; lower risk. *iPhone upgrades, Gillette razors*

Disruptive: New tech for existing market. *Netflix vs. Blockbuster; Uber vs. taxis*

Architectural: Existing tech reconfigured for new markets. *Smartwatch, desktop printer*

Radical: New tech + new market; rare; usually from new entrants. *Internet, AI, genome sequencing*

Radical innovation from new entrants: economic incentives, organizational inertia, ecosystem lock-in.

38. Technology Adoption Life Cycle & The Chasm

Rogers (1962). Five adopter groups by psychographic profile.

Group	%	Profile
Innovators	2.5	Engineering mindset; find bugs
Early Adopters	13.5	Imagination-driven; see potential
Early Majority	34	Pragmatists; want proven utility
Late Majority	34	Conservatives; adopt standards
Laggards	16	Skeptics; buy only if embedded

The Chasm: Gap between Early Adopters and Early Majority — hardest transition in any new tech

Cross It: (1) Target niche in early majority (big fish, small pond) (2) Offer complete solution (3) Build word-of-mouth

▷ Fisker: fell in (bankruptcy 2013). Tesla: Roadster → Model S → Model 3 crossed successfully

39. Business Models

How a company creates, delivers, and captures value.

Razor-Blade	Low core product; profit from consumables (printers + ink)
Subscription	Recurring fee for access (Netflix, Amazon Prime)
Pay-as-you-go	Charge per usage (AWS, Uber, utilities)
Freemium	Free basic; upsell premium (Spotify, Dropbox)
Wholesale	Bulk B2B sales at lower unit price
Agency	Commission-based representation (real estate, insurance)
Bundling	Multiple products as one package (cable, fast food combos)

40. Business Model Canvas (BMC)

Osterwalder. 9 building blocks visualizing how a business creates, delivers, and captures value on one page.

Customer Segments	Who the firm serves
Value Propositions	What value is delivered
Channels	How value reaches customers
Customer Relationships	How the firm interacts
Revenue Streams	How the firm earns money
Key Resources	Assets needed to deliver value
Key Activities	Critical actions for the model to work
Key Partnerships	External collaborators
Cost Structure	All operating expenses

Benefits: Clarity, flexibility, collaboration, value-creation focus

Limits: Oversimplifies; lacks detailed financials; limited long-term view

41. Customer Relationship Management (CRM)

Strategies, tools, and tech to manage customer interactions throughout the lifecycle.

4 Components: Customer data mgmt, sales/marketing automation, customer service support, analytics & reporting

How It Works: Centralize data → automate follow-ups → personalize comms → track interactions → real-time insights → cross-team

collaboration

Benefits	Satisfaction, sales, marketing ROI, decisions, collaboration
Challenges	Cost/complexity, user adoption resistance, data quality

42. Dynamic Capabilities

Ability to integrate, build, and reconfigure competencies to respond to change rapidly.

Sense	Monitor environment; market research; data analytics
Seize	Act quickly; allocate resources; M&A, partnerships, R&D
Transform	Reconfigure resources, processes, and strategy

▷ Netflix sensed streaming shift; Xiaomi seized smartphone market; Microsoft transformed to cloud

Benefits	Adaptability (Zoom 2020), sustained advantage, resilience
Challenges	High R&D cost, cultural resistance (Kodak), stability vs. flexibility

43. Green Strategies

Sustainable practices to reduce environmental impact while creating business value.

Sustainable resource mgmt	Responsible sourcing (IKEA: 100% sustainable w/
Energy efficiency	Renewables (Google: wind for data centers)
Waste reduction	Takeback programs (Patagonia), zero-waste ops
Green product design	EVs, recyclable materials (Tesla)
Sustainable supply chain	All-supplier environmental standards

Benefits: Brand loyalty, long-term cost savings, regulatory compliance

Challenges: High upfront cost, consumer intention-action gap, supply chain complexity

44. Digital Transformation

Integrating digital tech into all business areas — shifts in mindset, culture, and business models.

4 Components: Digital tools/tech (AI, cloud), Data & analytics, Customer-centric focus, Agility & innovation

5 Steps: Assess current state → develop digital strategy → implement solutions → cultural shift + training → monitor & improve continuously

Benefits: Efficiency (Toyota automation), customer experience (Zappos), new revenue streams (Apple ecosystem)

Challenges: High implementation cost, cultural resistance, cybersecurity exposure

45. Future Trends in Strategic Management

- Digital Transformation (Siemens: MindSphere IoT)
- Sustainability & CSR (Nestlé: net zero by 2050)
- Data-Driven Decisions (Tesco: supply chain 2022)
- Agile Strategies (Zoom: 10M → 300M users, months)
- Globalization (TCS: EU innovation hubs 2023)
- Human Capital & Culture (Unilever: flexible work 2020)
- Disruptive Tech (BYD: driverless taxi, Beijing 2023)
- Ethical Leadership (Starbucks: \$1B employee benefits 2023)

46. Data Analytics in Management

Systematic collection, processing, and analysis of data to enhance organizational decisions.

Type	Question	Example
Descriptive	What happened?	Monthly sales report
Diagnostic	Why?	Competitor → sales drop
Predictive	What will happen?	Sales forecast
Prescriptive	What to do?	Optimize delivery routes

Applications: Strategic planning (Amazon), demand (Walmart), CRM (Netflix), ops (UPS), fraud (JPMorgan)

4 Implementation Steps: Define objectives → collect data → right tools → interpret & act

47. Core Competencies

Essential capabilities not easily replicated;

drive long-term competitive success.

Why: Strategic direction, competitive advantage, resource allocation

4 Steps: (1) Competency audit (2) Align with customer needs (3) Invest to strengthen (4) Leverage for growth

▷ Walmart: supply chain (RFID, VMI, cross-docking) → consistent low prices

▷ P&G: brand management (Tide, Pampers, Gillette) → premium pricing via consumer insights

▷ Amazon: logistics mastery → expanded to AWS, Prime Video, Whole Foods

48. Eisenhower Matrix

Time management tool. Eisenhower: “*What is important is seldom urgent.*”

Q	Label	Action
Q1	Urgent + Important	Do first (emergencies, deadlines)
Q2	Important, not urgent	Schedule (strategy, training, planning)
Q3	Urgent, not important	Delegate (routine emails, approvals)
Q4	Neither	Eliminate (social media, busy work)

Q2 is highest-value and most neglected. Investing here prevents Q1 crises.

49. Systems Theory of Management

Organization = open system of interrelated parts working toward a common purpose.

Inputs	Materials, capital, people, information
Processes	Transformation: operations, decisions, service
Outputs	Products, services, outcomes
Feedback	Performance data flowing back → adjustments

Importance: Holistic thinking, adaptability, integration (no silos), continuous improvement

▷ Starbucks: beans + baristas + app → consistent global experience → feedback → new products

50. Bureaucracy in Management

Formal system for efficiency, consistency, fairness. Max Weber.

5 Features: Division of labor, hierarchy of authority, formal rules, impersonality, merit-based employment

Benefits	Efficiency, consistency, accountability, scalability, professional
Weaknesses	Rigidity, slow decisions, impersonal, rules over results

▷ McDonald's: defined roles, manuals, merit promotions → consistent experience across 100+ countries

51. Rational Model vs. Bounded Rationality

Rational Model: 7-step logical process with perfect information: identify → gather → develop → evaluate → choose → implement → evaluate. *Idealistic.*

Bounded Rationality: Herbert Simon. Managers work under constraints; **satisfice** = first “good enough” option. Limited info, time pressure, cognitive limits. *Realistic.*

	Rational	Bounded
Goal	Optimal	Satisfactory
Assumes	Perfect info	Constraints
Best for	Major decisions	Everyday choices

52. Contingency Theory

No single best management approach — optimal practice depends on context (Fiedler, 1960s).

Environmental context	Dynamic = flexible; stable = consistent
Org. structure	Align to strategy, size, task type
Leadership style	Autocratic in crisis; participative for creativity
Task characteristics	Simple = directive; complex = adaptive
Technology	Advanced = formal; simple = flexible
Org. size	Large = formalized; small = flexible & fast

Limits: Complex to apply; reactive not proactive; lacks specific actionable guidance

53. What Is Management?

Process of planning, organizing, leading, and controlling resources to achieve goals efficiently and effectively.

Planning	Set objectives and determine actions
Organizing	Arrange resources; assign responsibilities
Leading	Motivate and guide people
Controlling	Monitor; compare to goals; correct deviations

Importance: Goal achievement, efficiency, adaptability, motivation, sustainability

54. Fayol's 14 Principles

Henri Fayol, “father of modern management.” First universal management framework.

1. Division of Work	Specialize for efficiency
2. Authority+Responsibility	Power with accountability
3. Discipline	Respect rules and agreements
4. Unity of Command	One manager per employee
5. Unity of Direction	One plan per objective
6. Subordination	Org over individual interest
7. Remuneration	Fair and transparent pay
8. Centralization	Balance authority appropriately
9. Scalar Chain	Clear top-to-bottom authority line
10. Order	Right person/material, right place/time
11. Equity	Fair and respectful treatment
12. Stability of Tenure	Reduce costly turnover
13. Initiative	Encourage ideas (Google 20% time → Gmail)
14. Esprit de Corps	Teamwork and organizational harmony

Foundation of modern management education; still embedded in every MBA curriculum.

55. Oligopoly

Market with a few large firms controlling the majority of market share.

Features: High concentration, interdependence, high entry barriers, non-price competition, price rigidity

Semiconductors	Intel, Samsung, TSMC
Social media	Facebook, Instagram, Twitter, LinkedIn
Pharmaceuticals	Pfizer, J&J, Merck
Beverages	Coca-Cola, Pepsi

Benefits	Economies of scale, R&D capacity, price stability
Costs	Higher prices, limited choice, collusion risk

56. Employment vs. Entrepreneurship

Dim.	Employee	Entrepreneur
Comp.	Fixed salary	Tied to profit
Security	Stable	Performance-dependent
Schedule	Employer-set	Self-determined
Benefits	Often provided	Self-funded
Decisions	Hierarchical	Full autonomy
Responsibility	Job-specific	Comprehensive

Failure rates: 20% yr 1; 45% yr 5; 65% yr 10; only 25% reach yr 15

6 Self-Test Qs: OK with failing? Comfort-

able with uncertainty? Passion? Team player? Disciplined? Healthy?

57. Six Sigma

Data-driven quality methodology. Goal: 3.4 defects per million opportunities. Motorola (1980s); GE (1990s).

DMAIC (improve existing): Define → Measure → Analyze → Improve → Control

DMADV (design new): Define → Measure → Analyze → Design → Verify

▷ DMAIC ex: Ford reducing assembly line bottlenecks; DMADV ex: Samsung smartphone design

Benefits	Quality, cost savings, customer satisfaction, efficiency
Challenges	Complexity, cultural resistance, resource-intensive

58. Business Ethics & Ethical Dilemmas

Moral principles guiding decisions in business. Dilemmas arise from competing values: profit, fairness, legality, social responsibility.

5 Common Dilemmas: Conflict of interest, whistleblowing, fair treatment, environmental responsibility, product safety & transparency

▷ VW emissions scandal (2015): software to cheat tests → legal penalties + reputation damage

▷ Facebook/Cambridge Analytica: data shared without consent → global privacy debate

▷ Nike labor practices (1990s): poor overseas conditions → later reforms + transparency

5 Resolution Strategies: Apply ethical models (utilitarian/deontological), transparent communication, code of ethics, involve stakeholders, foster ethical culture

Benefits of ethical mgmt: Trust, employee morale/retention, legal stability, sustainable competitive advantage

59. Wooden Barrel Theory

A system is only as strong as its weakest element. Performance is capped by the shortest plank.

▷ Business: production 1000 units/day but shipping only 600 → limit is 600; fix shipping first

▷ Personal: exceptional closer who struggles with time mgmt; fix time mgmt for greater impact

▷ Economics: booming tourism + poor transport infrastructure = unrealized potential

4 Steps: (1) Identify the weakest plank (2) Develop improvement strategy (3) Measure progress (4) Repeat — a new bottleneck always emerges